for fulfilling the budgetary requirements (better say bridging the gap of fiscal deficit).[48]

Phase II: This phase which has a very short span (2000–03) saw two new developments. *First*, the government started a practice of using the proceeds not only for fulfilling the need of fiscal deficit but used the money for some other good purposes, such as—re-investment in the PSEs, pre-payment of the public debt and social sector. *Second*, by the early 2000–01 a broad concensus emerged on the issue of the proposal by the then Finance Minister.[49] The proposal regarding the use of proceeds of disinvestment was as given below:

Some portions of the disinvestment proceeds should be used

(i) in the divested PSU itself for upgrading purposes

(ii) in the turn-around of the other PSUs

(iii) in the public debt repayment/pre-payment

(iv) in the social infrastructure (education, healthcare, etc.)

(v) in the rehabilitation of the labour-force (of the divested PSUs) and

(vi) in fulfilling the budgetary requirements.

Phase III: The current policy regarding the use of the disinvestment proceeds are as given below:

1. **National Investment Fund:** In January 2005, the GoI decided to constitute a 'National Investment Fund' (NIF)[50] which has the following ***salient features*:**

   (i) The proceeds from disinvestment of will be channelised into the NIF which is to be maintained outside the Consolidated Fund of India.

   (ii) The corpus of the National Investment Fund will be of a permanent nature.

   (iii) The Fund will be professionally managed, to provide sustainable returns without depleting the corpus, by selected Public Sector Mutual Funds *(they are – UTI Asset Management Company Ltd.; SBI Funds Management Company Pvt. Ltd.; LIC Mutual Fund Asset Management Company Ltd.).*